▼ STRONG SELL · SHORT THESIS · BANKRUPTCY RISK

The Case for Zero: A Forensic Short Dossier on DJT

Six independent lines of evidence — declining revenue, catastrophic dilution, a failing bitcoin treasury, an Altman Z-Score in the bankruptcy zone, 359,000 daily users, and a $6 billion speculative fusion bet — converge on a single conclusion: Trump Media's operating business is terminally broken.

DJT has declined 62.9% over twelve months and 87% from its all-time high — yet remains valued at $2.84 billion. The bull case rests on a $2.5B balance sheet and political brand premium. Both are eroding. Bitcoin (the primary asset) is down 22% YTD. The $6B TAE fusion merger is a bet on technology that has never produced commercial-scale energy anywhere in the world. The operating business generates $972K per quarter. The Altman Z-Score is 2.57 — firmly in the distress zone.

ALTMAN Z-SCORE	PIOTROSKI F-SCORE	REVENUE Q3 2025	SHARE DILUTION (1Y)	30-DAY IMPLIED VOL
2.57	1/9	$972K	+75.6%	69.68%
Below 3.0 = Distress	Critically weak (0-2)	▼ −4% YoY · Declining	Shares: 150M → 288M	Puts priced for collapse

The Thesis in One Paragraph

Trump Media is a **company with no viable operating business**, a deteriorating financial structure, and a stock 87% below its all-time high yet still valued at $2.84 billion. Both pillars of the bull case — the balance sheet and the political brand — are actively eroding. Bitcoin is down 22% YTD. The TAE merger is a speculative bet on unproven technology. The Altman Z-Score of **2.57** and Piotroski F-Score of **1/9** represent near-failure across every measurable financial health metric. This dossier presents six independent lines of evidence for continued and potentially terminal decline.

Evidence I — Revenue Is Not Just Small. It's Declining.

Full-year 2025 revenue was **$3.68 million**. Q3 2025 alone was just **$972,000** — a 4% year-over-year decline. The company has maintained a 0% three-year revenue growth rate. This is not a pre-revenue startup. It is a post-launch platform four years into operation that cannot grow.

MANAGEMENT'S 2023 PROJECTED REVENUE FOR FY2026	ACTUAL FY2025 REVENUE	PRICE / SALES MULTIPLE
$3.67B	**$3.68M**	**772×**
Own pitch deck. One year left in the projection window.	Missed projection by 99.9%. 0% growth in 3 years.	Meta: 9×. DJT: 772×. No path to justify this premium.

Truth Social has approximately **359,000 daily active users** (SimilarWeb estimate) — a number that would not register as a rounding error on Facebook or TikTok. The premium Truth+ service has not disclosed subscriber counts. Operating margin is **−4,092%**. Four years after launch, there is no monetization mechanism converting political audience into advertising or subscription revenue at scale.

▼ THE REVENUE TRAJECTORY — UNBROKEN DECLINE

FY2023: $4.1M → FY2024: ~$3.8M → FY2025: $3.68M → Q3 2025 alone: $972K (−4% YoY)

Pitch deck projected $3.67 billion in 2026 revenue. Actual TTM: $3.68 million. That is a 99.9% miss with one year remaining in the projection window. No ad technology, no audience growth, and no subscriber data suggest any reversal is imminent.

Evidence II — The Bitcoin Treasury Is Bleeding

In May 2025, management pivoted: issuing **55.8 million new shares** and **$1 billion in zero-interest convertible notes** to raise $2.5B and buy Bitcoin. This diluted every existing shareholder ~25% in one transaction. Bitcoin has since fallen from $88,738 (Jan 1, 2026) to **$68,949** today — a 22% YTD decline. DJT recorded **$582 million in non-cash digital asset markdowns** in FY2025 — the primary driver of the $712M net loss.

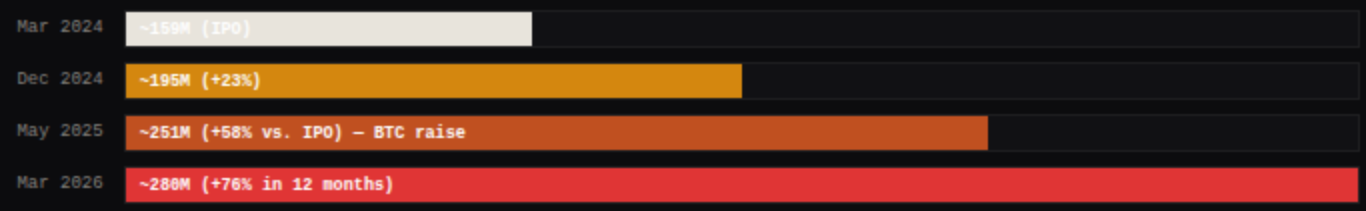
ASSET	ENTRY PRICE	CURRENT PRICE	UNREALIZED P&L	RISK LEVEL
Bitcoin Holdings (~$2B)	~$88,738/BTC (Jan 1)	~$68,949/BTC	−22% YTD + $582M 2025 markdowns	HIGH
CRO Tokens (684M units)	15.3¢/token (Sep 2025)	7.8¢/token (Mar 10)	−49% · ~$51M unrealized loss	CRITICAL
Convertible Notes ($1B)	0% interest, issued May 2025	Converts at below-market price	Future dilution risk on conversion	HIGH

The CRO Strategy Company — built to hold billions in Cronos tokens — hasn't materialized because the token price collapsed. The $51M unrealized CRO loss is on top of the Bitcoin markdowns. The balance sheet "floor" that bulls rely on is not stable — it is a crypto portfolio actively declining in a risk-off environment.

Evidence III — Catastrophic, Continuous Dilution

Shares outstanding grew **75.6% in the last twelve months.** Diluted shares rose **38.4% year-over-year in 2025 alone.** The $1B in convertible notes will add further shares on conversion. There is no mechanism by which this dilution stops — the company has no operating free cash flow to fund itself without tapping equity and debt markets.

SHARES OUTSTANDING — DILUTION TIMELINE



Evidence IV — The TAE Merger Is a Speculative Fantasy

On December 18, 2025, DJT announced a $6 billion all-stock merger with TAE Technologies — a nuclear fusion startup founded in 1998 that has been pursuing commercial fusion for **27 years without producing commercial-scale energy**. No fusion company has ever done so. After an initial share price bump, DJT resumed its downtrend and is lower today than before the announcement. The market has priced in the reality: this is not a value-creating deal.

▼ FIVE REASONS THE TAE MERGER DOESN'T SAVE DJT

1. **No proven commercial fusion exists anywhere.** TAE has operated for 28 years — still no utility-scale energy produced.
2. **The deal is all-stock.** No cash changes hands. Shareholders receive 50% of a combined entity with zero revenue between them.
3. **Market already said no.** DJT is below its pre-announcement price. The initial bump was fully reversed.
4. **Truth Social spinoff separates the brand first.** If spinoff completes before merger close, the TAE entity won't even contain Truth Social.
5. **Fusion requires massive federal support.** Conflict-of-interest concerns with the current administration create regulatory and ethical risk.

Evidence V — The Scores Don't Lie

Two independently constructed financial distress models both flag DJT as a high-risk entity, with scores approaching or in bankruptcy territory:

ALTMAN Z-SCORE	PIOTROSKI F-SCORE	RETURN ON EQUITY
2.57	**1/9**	**−9.3%**
Below 3.0 = Distress Zone. Below 1.81 = Bankruptcy Zone. Trending lower as crypto assets erode.	Score 0–2 = Financially weak. DJT scores 1. Nearly every health metric is simultaneously failing.	ROIC: −10.4%. Every dollar of capital invested is actively destroying value — not preserving it.

The Altman Z-Score uses five financial ratios: working capital, retained earnings, EBIT, market value of equity, and sales — all relative to total assets. DJT's score of 2.57 is approaching the **1.81 threshold that historically precedes formal bankruptcy filings.** The Piotroski F-Score of 1 means the company passes virtually none of the nine profitability, leverage, and efficiency tests used to assess financial health. This is a near-failure across every dimension.

> *"Revenue growth: 0% over three years. Diluted shares: +38.4% in one year. Altman Z: 2.57. Piotroski F: 1. Bitcoin treasury: −22% YTD. This is not a company waiting to turn the corner. It is a company on a measured path to zero."*

The Put Options Framework: Buying the Decline

With 30-day implied volatility at **69.68%**, put options are expensive in percentage terms — but on a $10 stock, the absolute premium per contract is very low. An ATM put costs approximately $1.45–$1.80. The thesis requires a move to $5–7 (base case) or toward $2–3 (terminal case) — both multiples of any current put premium. Unlike the typical directional trade, **the DJT put thesis is event-agnostic in the negative direction**: TAE failure, continued BTC decline, further dilution, or revenue stagnation — any single catalyst is independently sufficient.

IV METRIC	VALUE	CONTEXT	IMPLICATION FOR PUT BUYERS
30-Day Implied Vol	69.68%	Extreme — reflects multi-catalyst uncertainty	Puts expensive in % terms but cheap in $ on $10 stock
Historical Realized Vol (1Y)	>100%	Stock fell 87% from ATH, with multiple ±30% moves	RV historically exceeds IV — structurally favorable for buyers
Beta	4.655	Moves 4.6× the market on average	Market selloffs amplify DJT declines significantly
Short Interest	3.78% float	10.57M shares short — not extreme	Low squeeze risk vs. prior periods — safer for puts
Audit Going Concern	Raised (2024)	Auditor flagged doubt about ability to continue	Institutional selling pressure; no analyst coverage

OPTIONS GREEKS — WHAT EACH MEANS FOR A DJT PUT POSITION

Δ

DELTA (NEGATIVE)

ATM put = −0.50Δ. Each $1 drop in DJT = +$50/contract. On a $10 stock, delta sensitivity is very high relative to premium cost. A move to $7 on a $10 ATM put = ~+$150 on ~$180 investment.

▼ Profits from every dollar of decline

Γ

GAMMA

High near the money. As DJT approaches $7–8, OTM puts become ATM and delta accelerates. Gamma amplifies gains on gap-down moves — which DJT executes regularly on negative announcements.

▲ Accelerates gains on rapid decline

Θ

THETA

The main enemy at 69.68% IV. Brutal decay on short-dated options. Prefer 60–90 DTE to give the thesis time. The TAE/spinoff decisions and next earnings are the key catalyst windows — don't go under 45 DTE.

⚠ Always use 60–90 day expiries

V

VEGA

DJT's IV tends to spike on negative news (failed catalysts, dilution, earnings misses) — benefiting put holders through vega gains. Unlike some tickers, DJT maintains elevated IV between events due to ongoing political and corporate uncertainty.

▲ Vega is a tailwind on bad news

Three Put Structures — Scaled by Risk Tolerance

All structures target the **TAE merger decision window (May–July 2026)** and Q1 2026 earnings release. The June 20, 2026 expiry straddles both catalyst dates. All premiums are illustrative estimates at current IV levels of 69–80%.

STRUCTURE 1 — ATM PUTS (DIRECT DECLINE BET)

Maximum delta. Best for high-conviction that DJT continues declining toward $6–8.

> **NOTE** $10 ATM put costs ~$1.80 (Jun) or $1.45 (May). A move to $7 by June = ~+$150 on $180 investment (+83%). A move to $5 = +$310 (+172%). Best for traders expecting continued slow deterioration or a specific negative catalyst (TAE deal failure, Q1 earnings miss, BTC drop).

TICKER	STRIKE	TYPE	EXPIRY	PREMIUM	DELTA Δ	GAMMA Γ	THETA Θ/DAY	VEGA	IV EST.	MAX LOSS	BREAK-EVEN
DJT	$10	Put	Jun 20, 2026	$1.80	−0.50	0.065	−$0.07	0.18	78%	$180	$8.20
DJT	$10	Put	May 16, 2026	$1.45	−0.50	0.080	−$0.09	0.14	72%	$145	$8.55

STRUCTURE 2 — OTM PUTS (TERMINAL / BANKRUPTCY SCENARIO)

Low cost, extreme leverage. Pays on TAE collapse + Bitcoin decline toward $5 or below.

> **NOTE** $7 put at ~$0.65 and $5 put at ~$0.25 offer 5–15× on a terminal scenario. DJT's all-time low was $9.89 just recently. A failed TAE deal + BTC below $50K could push toward $5–6 within the June window. Low probability per event, but multiple independent catalysts can each independently trigger this.

TICKER	STRIKE	TYPE	EXPIRY	PREMIUM	DELTA Δ	GAMMA Γ	THETA Θ/DAY	VEGA	IV EST.	MAX LOSS	BREAK-EVEN
DJT	$7	Put	Jun 20, 2026	$0.65	−0.27	0.040	−$0.05	0.12	75%	$65	$6.35
DJT	$5	Put	Jun 20, 2026	$0.25	−0.13	0.020	−$0.02	0.07	80%	$25	$4.75

STRUCTURE 3 — PUT SPREAD (DEFINED RISK, COST-EFFICIENT)

Buy $10 put, sell $6 put. Reduces premium ~40%. Max profit if DJT falls below $6.

> **NOTE** Net cost ~$1.10 (Jun). Max profit $2.90 if DJT < $6 at expiry = 164% return on $110 investment per contract. Best for cost-conscious traders who don't need the terminal scenario — just continued deterioration below $6, which requires only a further 42% decline from current levels.

TICKER	LONG PUT	SHORT PUT	EXPIRY	NET PREMIUM	MAX PROFIT	MAX LOSS	BREAK-EVEN	P&L AT $6	P&L AT $4
DJT	$10	$6	Jun 20, 2026	$1.10	$2.90	$1.10	$8.90	+164%	+164% (capped)
DJT	$10	$5	Jun 20, 2026	$1.55	$3.45	$1.55	$8.45	+94% at $6	+223% at $4

* All premiums are illustrative estimates at current IV levels of ~69–80%. Not investment advice. DJT can reverse sharply on political or corporate news — position size accordingly.

Three Scenarios — Framed From the Short Holder's Perspective

All scenarios are framed from the perspective of a **put holder**. The "bull" case is the scenario that hurts the short thesis. Note the asymmetry: even a temporary rally to $15 does not permanently impair the bear thesis unless the TAE deal, spinoff, and profitability all converge — an outcome with no current evidence of support.

BASE CASE — CONTINUED EROSION

TAE Delayed. BTC Flat. No New Catalysts. Stock Bleeds Lower.

50%

ESTIMATED PROBABILITY

DJT Target	$6 – $8
Downside from $10.27	−22% to −42%
ATM $10 Put P&L	+22% to +122%
$10/$6 Spread P&L	+55% to +164%
$7 OTM Put P&L	−50% to +15%
Primary driver	BTC drift + no news

BEAR CASE — ACCELERATED COLLAPSE

TAE Falls Apart. BTC Continues Declining. Dilution Accelerates.

35%

ESTIMATED PROBABILITY

DJT Target	$2 – $5
Downside from $10.27	−51% to −81%
ATM $10 Put P&L	+289% to +456%
$7 OTM Put P&L	+115% to +692%
$10/$6 Spread P&L	+164% (capped at $6)
Trigger	TAE blocked + BTC <$50K

BULL-FOR-BEARS — TEMPORARY SQUEEZE RISK

TAE Approval Surprise. Political Catalyst. Short Squeeze.

15%

RISK TO SHORT THESIS

DJT Target	$15 – $20
Upside risk to shorts	+46% to +95%
All put structures	−100% (expire worthless)
Max put loss	Premium paid only
Mitigation	Use spreads; size <2%
Note	Does not impair thesis long-term

> *"The put options framework offers asymmetric, defined-risk exposure to what six independent lines of evidence suggest is an inevitable repricing toward intrinsic value — a value that, stripped of political premium and speculative corporate activity, is a fraction of the current price."*

CATALYST RISK TO SHORT	PROBABILITY	TIMING	MITIGATION
TAE merger approval surprise	Medium	Q2/Q3 2026	Use spreads; limit OTM puts
Bitcoin recovery above $90K	Medium	Anytime	Use ATM puts; hedge with BTC calls
Political headline-driven spike	Medium	Ongoing	Size <2% portfolio per structure
Short squeeze (3.78% float short)	Lower than prior periods	Anytime	Short interest has declined — reduced risk
Truth Social user growth announcement	Low	Unknown	No growth mechanism currently evident

Evidence VI — The Collapse Timeline

DATE	EVENT	SIGNIFICANCE
Mar 2024	DJT goes public via SPAC at ~$70; peaks at $79	Now −87% from ATH
Apr 2024	Auditor raises "going concern" doubt	First formal distress signal
Nov 2024	Trump wins election; DJT spikes to $30+	Political premium peaks
May 2025	$2.5B BTC raise — 55.8M new shares + $1B convertible notes	25% single-transaction dilution
Sep 2025	CRO token purchase at 15.3¢ — now 7.8¢ (−49%)	$51M unrealized loss
Q3 2025	Revenue $972K — 4th consecutive sub-$1M quarter	No growth; 359K DAU
Dec 2025	TAE fusion merger announced ($6B all-stock)	Bump reversed; below pre-annc. today
Feb 2026	FY2025: $3.68M revenue, −$712M net loss, $582M BTC markdowns	All-time revenue miss vs. pitch deck
Feb 2026	Truth Social spinoff discussions announced	Would split brand from TAE entity
Mar 2026	DJT at $10.27 — near 52-week low of $9.89	Altman Z: 2.57 · Piotroski: 1/9

The Verdict: Six Counts, One Conclusion

Revenue declining for three years. Share count up 75% in twelve months. Bitcoin treasury down 22% YTD with **$582M in markdowns**. CRO tokens worth half their cost. Altman Z-Score of **2.57** and Piotroski F-Score of **1/9**. A $6 billion merger with a fusion company that has never produced commercial power in 28 years. The operating business generates $972K per quarter and has zero growth. The balance sheet floor is eroding as crypto assets decline and convertible notes threaten further dilution. The put options framework presented here offers asymmetric, defined-risk exposure to what the evidence suggests is an inevitable repricing toward intrinsic value. **That value, stripped of political premium and speculative corporate activity, is a fraction of the current $10.27 price.**

IMPORTANT DISCLOSURES

This document is for informational and educational purposes only. It does not constitute investment advice or a recommendation to buy, sell, or short any security. Short selling and buying put options involve significant risk including total premium loss on options. DJT is an extremely high-volatility stock driven by political sentiment and may move sharply against any short thesis on political news. All options premiums and Greeks are illustrative estimates. Past distress scores do not guarantee future bankruptcy. Consult a licensed financial advisor before making any investment decisions.

Sources: StockAnalysis.com (Altman Z, Piotroski F), GuruFocus, Seeking Alpha (Feb 23 2026), Popular.info (Judd Legum, Feb 2026), 24/7 Wall St. (Mar 10 2026), GlobeNewswire (DJT FY2025 results), NBC News (auditor going concern Apr 2024), SimilarWeb (DAU estimate), Benzinga, CoinCodex. Data as of March 10, 2026.